

ECO401- ECONOMICS
120+ MOST IMPORTANT MCQS
FOR FINAL TERM PREPARATION
BY BRAINY SQUAD

1. Which of the following is NOT a reason why the aggregate demand curve slopes downward?

- a. The exchange-rate effect
- b. The interest-rate effect
- c. The wealth effect
- d. **The classical dichotomy/monetary neutrality**

2. Which of the following is an example of a public good?

- a. Private healthcare
- b. Cable television subscription
- c. Fast food restaurant
- d. **National defense**

3. Suppose government of Pakistan wishes to achieve a fall in unemployment, which of the following policies should it adopt?

- a. Raise Value Added Tax (VAT).
- b. Reduce the real value of income tax free allowances.
- c. **Start public job training programs.**
- d. Reduce government spending on capital projects.

4. The concept of "Say's Law" in classical economics suggests:

- a. **That supply creates its own demand.**
- b. That saving is more important than spending.
- c. That government intervention is necessary for economic stability.
- d. That demand creates its own supply.

5. Productive efficiency is achieved when firms produce at the:

- a. Highest point of marginal cost curve
- b. **Lowest point of average cost curve**
- c. Lowest point of marginal cost curve
- d. Highest point of average cost curve

6. If Competitive markets do not achieve equitable outcomes, then it is Called:

- a. Non-rational consumers.
- b. Market failure.**
- c. Imperfect market structure.
- d. Limit pricing.

7. In Keynesian economics, a deflationary gap occurs when aggregate Expenditures are:

- a. Greater than aggregate production.
- b. Equal to aggregate production.
- c. Undetermined.
- d. Less than aggregate production.**

8. Which efficiency is concerned with producing goods in the most Cost-efficient manner?

- a. Technical efficiency
- b. Productive efficiency**
- c. Allocative efficiency
- d. Economic efficiency

9. In monopolist market, a new entrant firm should produce where:

- a. Marginal Cost = Average Revenue.
- b. Marginal Cost = Marginal Revenue.**
- c. Marginal Cost > Marginal Revenue.
- d. Marginal Cost < Marginal Revenue.

10. There are commonly _____ methods of measuring GDP.

- a. Two
- b. Five
- c. Three**
- d. Four

11. ----- is an accounting record of a country's Transactions with rest of the world.

- a. Balance of payment**
- b. Balance of trade
- c. Rate of inflation
- d. Trade liberalization

12. The labor force is made up of:

- a. The number of people employed plus the Number of people unemployed.**

- b. The number of people employed minus the Number of people unemployed.
- c. Just the number of people employed.
- d. The whole population.

13. What measures the rate of increase of average Wage in the economy?

- a. Consumer Inflation Index
- b. Wage inflation**
- c. Wage deflation
- d. Producer Inflation Index

14. A growth rate for lower income countries (LIC's) is considered healthy if it is:

- a. Below 2%
- b. Above 8%**
- c. Between 5% to 7%
- d. Exactly 3%

15. According to the quantity theory of money, which of the following is TRUE for the equation $MV = PQ$?

- a. Q is the real price level
- b. P rises as V falls, other things constant
- c. M is real money supply
- d. M is nominal money supply**

16. The interest rate parity is the basic identity that Relates:

- a. Nominal exchange rate and real exchange Rate
- b. Saving rate and real interest rate
- c. Saving rate and nominal interest rate
- d. Interest rates and exchange rates**

17. Revaluation is known as:

- a. The act of less or more permanent increase In the value of price by government
- b. The act of increasing the price of one Country's currency in terms of other Currencies by the government**
- c. The act of decreasing the price of one Country's currency in terms of other currencies by the government
- d. The act of less or more permanent decrease in the value of price by government

18. Measures the value of output during a given year Using the prices prevailing during that year is:

- a. Real GDP
- b. Nominal effective exchange rate
- c. Real exchange rate
- d. Nominal GDP**

19. According to classical, unemployment is

- a. Structural
- b. Seasonal
- c. Voluntary
- d. Involuntary**

20. If output gap is positive then:

- a. It will have no impact on economy
- b. Economy will be in recession
- c. It will have negative impact on economy
- d. Economy will be in expansion**

21. If fiscal deficit is financed by selling bonds to the general public, then the money supply will:

- a) Decrease
- b) Remain unchanged
- c) Decrease for a short time then start increasing
- d) Increase

Correct option: d) Increase

22. A decrease in the money supply will:

- i. Reduce interest rates, reducing investment and GDP
- ii. Raise interest rates, increasing investment and lowering GDP
- iii. Reduce interest rates, increasing investment and GDP
- iv. Raise interest rates, reducing investment and GDP

Correct option: d) Raise interest rates, reducing investment and GDP

23. Which is a more expansionary way for the government to finance a budget deficit?

- i. Decreasing government spending
- ii. Borrowing money in the money market
- iii. Creating new money
- iv. Increasing taxes

Correct option: c) Creating new money

24. A tax on the accounting profits of corporations is known as:

- i. Excise tax
- ii. Sales tax
- iii. Personal income tax

- iv. Corporate income tax

Correct option: d) Corporate income tax

25. What happens to the commercial banks reserve ratio if the central bank increases the Discount rate?

- i. It Decreases
- ii. It remains unchanged
- iii. It Increases
- iv. We can't tell on the basis of the given information

Correct option: d) We can't tell on the basis of the given information

26. An increase in the money supply will cause interest rates to:

- i. Remain unchanged
- ii. Remain undetermined
- iii. Fall
- iv. Fall

Correct option: c) Fall

27. M0 component of the money supply equals Rs.800,000. If total checking deposits and time Deposits are Rs.400,000 and Rs.500,000 respectively, the value of M2 component of the money Supply is:

- a) Rs.12,00,000
- b) Rs.17,00,000
- c) Rs.13,00,000
- d) Rs.9,00,000

Correct option: c) Rs.13,00,000

28. What happens to the interest rate if the central bank decreases money supply in the Economy?

- i. Interest rate will not change
- ii. We can't tell on the basis of the given information
- iii. We can't tell on the basis of the given information
- iv. Interest rate will increase

Correct option: d) Interest rate will increase

29. How should monetary policy be used during recessions?

- i. Increase money supply to decrease interest rate and increase aggregate demand
- ii. Increase money supply to increase interest rate and increase aggregate demand
- iii. Decrease money supply to decrease interest rate and increase aggregate demand
- iv. Decrease money supply to increase interest rate and increase aggregate demand

Correct option: a) Increase money supply to decrease interest rate and increase aggregate Demand

30. "Identically well-off people should be taxed identically". This statement is best described by:

- Horizontal equity
- Vertical equity
- Efficiency
- Equity

Correct option: a) Horizontal equity

Question No: 31

The average propensity to save is the ratio of:

- A. Total saving to a change in disposable income.
- B. A change in saving to total disposable income at a specific Income level.**
- C. Total saving to total disposable income at a specific income level.
- D. A change in saving to a change in disposable income.

Question No: 32

Which of the following factors would shift aggregate demand curve to the right?

- A. Increase in consumption expenditures**
- B. Decrease in government expenditures
- C. Increase in taxes
- D. Decrease in business investment

Question No: 33

The price at which firms sells its final output to the consumers is called:

- A. Product price
- B. Market price
- C. Factor price Page 120**
- D. None of these

Question No: 34

Which of the following summarizes all the international economics Transactions for a country during a specific time period?

- A. Interest rate
- B. Inflation rate
- C. Balance of trade
- D. Balance of payments**

Question No: 35

Inflation is measured on the basis of

- B. Marshall's Index
- C. Whole Sales Index
- D. Consumer Price Index**
- E. Consumer Borrowing Rate Index

Question No: 36

Contentious movement of production, income and resources between Producers and consumers is known as:

- A. Inflation
- B. Investment
- C. Circular flow Page 124**
- D. Consumption

Question No: 37

----- is an accounting record of a country's transactions with rest of the world.

- A. Rate of inflation
- B. Balance of trade
- C. Trade liberalization
- D. Balance of payment Page 152**

Question No 38

For a firm buying labor competitively, the marginal input cost is equal To the:

- A. Wage**
- B. Interest rate
- C. Price of output
- D. Cost of raw materials

Question No: 39

A demand curve is price elastic when:

- A. Total revenue increases due to increase in price.
- B. Changes in demand are equal to changes in price.**
- C. Changes in demand are proportionately smaller than changes in Price.
- D. Changes in demand are proportionately greater than changes in Price.

Question No: 40

If there is a price ceiling, there will be:

- A. Surpluses
- B. Shortages**
- C. Equilibrium
- D. Decrease in production

Question No: 41

Which of the following is TRUE for a monopolistically competitive Firm in the short run equilibrium??

- A. It will make positive profit.
- B. Any of the given is possible.**
- C. It will make zero profit (break-even).
- D. It will make negative profit (lose money).

Question No:42

What would result from a depreciation of the pound on the foreign Exchange market?

- B. A fall in the price of imported computers.
- C. An increase in the price of imported computers.
- D. A fall in the purchasing power of US tourists in London.
- E. An increase in the purchasing power of UK tourists overseas.**

Question No: 43

In measurement of GDP, the problem of double counting is avoided by:

- A. Using GDP deflator.
- B. Calculating value added at each stage of production.
- C. Adjusting the value of only finished goods with prices.**
- D. Adjusting the value of intermediate goods with prices

Question No:45

Suppose a firm hires five workers and offers them to pay Rs. 350 for 6 Hours. Later on, firm decides to increase working hours instead of Hiring new workers. As working hours increase, the wage rate:

- A. Increases**
- B. Decreases
- C. Remains unchanged
- D. First decreases then increases

46. Worth Rs. 95000. If the cost of production is Rs. 75000, the level of Profit is:

- 15000.
- 17000.
- **20000.**
- 26000.

47. According to Classical economists, economy always remains:

- Stagnant.
- **At full employment level.**
- Below full employment level.
- Above full employment level.

48. A price taker is:

- **A firm that accepts different prices from different customers.**
- A monopolistically competitive firm.
- A firm that cannot influence the market price.
- An oligopolistic firm.

49. The output level in long run is determined by:

- **Aggregate demand.**
- Aggregate supply.
- The government.
- Money supply.

50. Business-cycle instability is best corrected through government Policies is a primary implication of:

- Classical Economists.
- Monetarist.
- **J.M. Keynes.**
- New Classical Economists.

51. Famous concept "Government has a role in maintaining full Employment" is given by:

- **J.M. Keynes.**
- Adam Smith.
- David Ricardo.
- J.B. Say.

52. According to Classical economists, an increase in aggregate demand would:

- Only increase the price level.
- Only increase the level of output.
- Increase both the price level and the level of output.
- **Increase the price level and decrease the level of output.**

53. Keynesian demand management policies could not be successfully Applied in a situation of:

- Stagflation.
- Hyper inflation.
- Cost push inflation.
- **Demand pull inflation.**

54. In Car industry, there are fewer manufacturers that manufacture Slightly differentiated cars. They take decisions by considering the Actions of rival firms. This industry operates in:

- Monopoly.
- **Oligopoly.**

55. Oligopoly differs from monopolistic competition in that an oligopoly Includes:

- Product differentiation.
- **No barriers to entry.**
- Barriers to entry.
- Downward sloping demand curves facing the firm.

56. In a classical model, a rightward shift in aggregate supply keeping Aggregate demand constant will:

- **Increase the price level only.**
- Increase the level of output only.
- Increase both the price level and the level of output.
- Decrease the price level and increase the level of output.

57. Which one of the following is most likely to lead to an increase in Aggregate demand if there is an increase in:

- Government tax revenues.
- Household savings.
- Demand for imports.
- **Business capital investment**

58. A monopolistically competitive firm in short run equilibrium:

- Will make negative profit (lose money).
- **Will make zero profit (break-even).**
- Will make positive profit.
- Any of the given is possible.

59. A Natural Monopoly is most likely to exist when there are:

- Long term patents.
- Large barriers to entry.
- **Government regulations.**
- Large economies of scale.

60. Royal Leather Industries Ltd Pakistan operates in a monopolistic Competition and earns normal profit in the short run. In the long run, it Will make:

- Negative profits.
- Abnormal losses.
- **Normal profits only.**

- Supernormal profits only.

61. To hire the next worker, the firm pays Rs.50. Fifty rupees is the:

- Marginal cost.
- Marginal revenue.
- **Marginal input cost.**
- Marginal revenue product.

62. According to classical economists, what was the main reason of fall in investment during great depression?

- High interest rate
- Low interest rate
- Large government expenditures
- **Fall in consumption expenditures**

63. The most important factor in determining the long-run profit potential In monopolistic competition is:

- **Free entry and exit.**
- The elasticity of the market demand curve.
- The elasticity of the firm's demand curve.
- The reaction of rival firms to a change in price.

64. The price level in long run is determined by:

- Aggregate supply.
- Aggregate demand.
- The government.
- **Money supply.**

65. Which of the following would cause the short run aggregate supply Curve to shift to the left, but have no effect over the long run Aggregate supply?

- **Prices of inputs decrease**
- Prices of inputs increase
- The amount of factors of production increase

66. A study of how increases in the minimum wage rate will affect the national unemployment rate is an Example of

- B. Descriptive economics.
- C. Normative economics.
- D. **Macroeconomics.**
- E. Microeconomics.

67. Aggregate supply is the total amount

A. Of goods and services produced in an economy.

- B. Produced by the government.
- C. Of products produced by a given industry.
- D. Of labor supplied by all households.

68. The total demand for goods and services in an economy is known as

A. Aggregate demand.

- B. National demand.
- C. Gross national product.
- D. Economy-wide demand.

69. Deflation is

- A. An increase in the overall level of economic activity.
- B. An increase in the overall price level.
- C. A decrease in the overall level of economic activity.
- D. A decrease in the overall price level.**

70. A recession is

- A. A period of declining prices.
- B. A period during which aggregate output declines.**
- C. A period of declining unemployment.
- D. A period of falling trade volumes.

71. Involuntary unemployment means that

- A. People are not willing to work at the going wage rate.
- B. At the going wage rate, there are people who want to work but cannot find work.**
- C. There are some people who will not work at the going wage rate.
- D. There is excess demand in the labour market.

72. A cut in the income tax rate designed to encourage household consumption is an example of

- A. expansionary demand-side policy.**
- B. contractionary demand-side policy.
- C. expansionary supply-side policy.
- D. Contractionary supply-side policy.

73. A cut in the tax rate designed to reduce the cost of capital and hence encourage business investment is an example of

- A. Expansionary demand-side policy.
- B. Contractionary demand-side policy.
- C. Expansionary supply-side policy.**
- D. Contractionary supply-side policy.

74. Macroeconomics is the branch of economics that deals with

- A. The economy as a whole.**
- B. Imperfectly competitive markets.
- C. Only the long run adjustments to equilibrium in the economy.
- D. The functioning of individual industries and the behaviour of individual decision-making units – business Firms and households.

75. A group of modern economists who believe that price and wage rigidities do not provide the only Rationale for macroeconomic policy activism are called:

- A. New-Keynesians.**
- B. Keynesians.
- C. Monetarists.
- D. The Classical school.

76. Macroeconomic theory that emphasized the theories of Keynes and de-emphasized the Classical Theory developed as the result of the failure of

- A. Economic theory to explain the simultaneous increases in inflation and unemployment during the 1970s.
- B. Fine tuning during the 1960s.
- C. The economy to grow at a rapid rate during the 1950s.
- D. The Classical model to explain the prolonged existence of high unemployment during the Great Depression.**

77. Keynes believed falling wages were not a solution to persistent unemployment because

- A. Falling wages demoralized workers.
- B. This would reduce the purchasing power of laborers as consumers. This in turn would bleaker Firms' prospects of selling more goods, hence inducing them to cut their investment (and hence Labour) demand.**
- C. The unemployment was caused by frictional and structural factors.
- D. Wages would fall more than required to clear the labour market.

78. The practice of using fiscal and monetary policy to stabilize the economy is known as

- A. Fine tuning of demand**
- B. Monetarism
- C. Laissez faire economics
- D. Supply side economics

79. According to Classical models, the level of employment is determined primarily by

- A. Interest rates.
- B. The level of prices.
- C. The level of aggregate supply in the economy**
- D. The level of aggregate demand for goods and services.

80. According to Keynes, the level of employment is determined by

- A. Interest rates.
- B. The level of prices.
- C. The level of aggregate supply in the economy
- D. The level of aggregate demand for goods and services.**

81. According to the Classical model, unemployment

- A. Could not persist because wages would fall to eliminate the excess supply of labour.**
- B. Could persist for long periods of time because wages are not flexible.
- C. Could be eliminated only through government intervention.
- D. Could never exist.

82. To get the economy out of a slump, Keynes believed that the government should

- A. Increase both taxes and government spending.
- B. Increase taxes and/or decrease government spending.
- C. Cut both taxes and government spending.
- D. Decrease taxes and/or increase government spending.**

83. Aggregate demand refers to the total demand for all domestically produced goods and services in An economy generated from

- A. The household and government sectors.
- B. The household sector.
- C. All sectors except the rest of the world.
- D. All sectors including the rest of the world.**

84. Government policies that focus on increasing production rather than demand are called:

- A. Fiscal policies.
- B. Monetary policies.
- C. Incomes policies.
- D. Supply-side policies.**

85. Prices that do not always adjust rapidly to maintain equality between quantity supplied and quantity Demanded are

- A. Market prices.
- B. Sticky prices.**
- C. Fixed prices.
- D. Regulatory prices.

86. The economists who emphasized wage-flexibility as a solution for unemployment were

- A. Monetarists.
- B. New-Keynesians.
- C. Classical economists.**
- D. Keynesians.

87. According to the Classical economists, the economy

- A. Requires fine tuning to reach full employment.
- B. Should not be left to market forces.
- C. Will never be at full employment.
- D. Is self correcting.**

88. Monetarism became popular because it was able to, unlike Classical or Keynesian economics, Explain

- A. Stagflation in the late 1970s.**
- B. Demand-pull inflation in the 1960s.
- C. Low growth rates in the 1950s.
- D. The prolonged existence of high unemployment during the Great Depression.

89. By how much has real GDP grown from 2001 to 2002?

- A. -10%
- B. 12.5%
- C. 20%
- D. 0%**

90. By how much has per capita nominal GNP changed from 2001 to 2002?

- A. -10%
- B. 12.5%**
- C. 20%
- D. 0%

91. Based on the above information, we can say that:

- A. Poverty has fallen in the country
- B. Per capita real GDP is falling**
- C. Income inequality has worsened
- D. Real growth in the informal sector is 0%

92. In the circular flow of income, Keynesian equilibrium obtains when

- A. All the individual sectors are in equilibrium: $S=I$, $T=G$, $M=X$
- B. The aggregate injections equal aggregate withdrawals $S+T+M = I+G+X$**
- C. There is no inflation or unemployment
- D. The interest rate and exchange rate are at their market clearing levels

93. Under conditions of Keynesian equilibrium:

- A. aggregate demand equals aggregate supply
- B. aggregate demand equals national income
- C. both A and B**
- D. none of the above

94. Which of the following is a determinant of consumption

- A. expectations about future prices
- B. level of indebtedness of consumers
- C. the price level
- D. all of the above**

95. Which is the most volatile component of aggregate demand

- A. Net exports
- B. consumption
- C. investment**
- D. government spending

96. Which of the following is not an obvious or direct determinant of a country's imports

- A. real exchange rate
- B. income
- C. tariff rates
- D. interest rate**

97. When consumption is 650, income is 750; when consumption is 620, income is 700. Assuming there is no government, $I=100$, net exports are 10, what is the level of equilibrium income?

- A. 500
- B. 625
- C. 775**
- D. 850

98. Which of the following is not true?

- A. Starting from no growth, a positive output growth rate would be associated with even higher rates of investment (the accelerator effect)
- B. Higher investment causes a multiplied increase in income
- C. Such increases in income would continue to induce higher investment, which in turn would continue to cause multiplied increases in output.
- D. All of the above.**

99. In the equation $C = a + bY$, which describes the aggregate consumption function, 'a' stands for

A. the amount of consumption when income is zero.

B. the marginal propensity to consume.

C. the amount of consumption when income is Maximum.

D. the average consumption level.

100. Total consumption divided by total income gives us:

A. the average propensity to consume.

B. the marginal propensity to save.

C. the marginal propensity of expenditure.

D. the marginal propensity to consume.

101. Disposable income is the part of households' income left after the deduction of

A. pension contributions.

B. income tax and social security payments.

C. income tax.

D. savings.

102. As the MPS increases, the multiplier will

A. increase.

B. either increase or decrease depending on the size of the change in investment.

C. remain constant.

D. decrease.

103. In macroeconomics, equilibrium is defined as that point at which

A. planned aggregate expenditure equals aggregate output.

B. planned aggregate expenditure equals consumption.

C. aggregate output equals consumption minus investment.

D. saving equals consumption.

104. The ratio of the change in the equilibrium level of output to a change in some autonomous component of aggregate demand is the

A. elasticity coefficient.

B. multiplier.

C. marginal propensity of the autonomous variable.

D. automatic stabilizer.

106. Assuming there are no taxes (and no foreign sector), if the MPC is .8, the multiplier is

A. 2.5.

B. 8.

C. 5.

D. 2.

107. Assuming the net income tax rate is 25% (and there is no foreign sector), if the MPC is 0.8, the Multiplier is

A. 2.5.

B. 8.

C. 5.

D. 2.

108. Assuming there is no foreign sector, if the multiplier is 3, and the net income tax rate is 20%, the MPC is

A. $\frac{3}{4}$

B. $\frac{4}{5}$

C. $\frac{5}{6}$

D. $\frac{6}{7}$

109. Assume there is no government or foreign sector. If the MPC is .75, a Rs.20 billion decrease in Planned investment will cause aggregate output to decrease by

A. Rs. 80 billion.

B. Rs. 20 billion.

C. Rs. 26.67 billion.

D. Rs. 15 billion.

110. According to the 'paradox of thrift,' increased efforts to save will cause

A. An increase in income and an increase in overall saving.

B. A decrease in income and an overall decrease in saving.

C. A decrease in income but an increase in saving.

D. An increase in income but no overall change in saving.

111. If injections are less than withdrawals at the full-employment level of national income, there is

A. An inflationary gap.

B. Equilibrium.

C. A deflationary gap.

D. Hyperinflation.

112. The accelerator theory of investment says that induced investment is determined by

- A. The rate of change of national income.
- B. Expectations.
- C. The level of national income.**
- D. The level of aggregate demand.

113. The diagram that shows the money received and paid out by each sector of the economy is the

- A. Income-price diagram.
- B. Income-expenditures diagram.
- C. Circular flow diagram.**
- D. Aggregate demand-aggregate supply diagram.

114. If both the no. of unemployed people and the size of the labour force increase by 10,000, then

- A. the unemployment rate will remain the same.
- B. the unemployment rate will increase.**
- C. the unemployment rate will decrease.
- D. We cannot tell.

115. Which of the following could be a reason for the problem of “lack of jobs” being overestimated:

- A. the existence of disguised unemployment
- B. people are underemployment
- C. people holding only one job (as opposed to multiple jobs)
- D. The existence of child labour**

116. Which of the following is not a cost of voluntary unemployment?

- A. Potential output of the economy is greater than actual output
- B. Government loses tax revenue
- C. Firms lose (potential) revenues due to operating below capacity

D. mental stress undergone by the unemployed persons

117. “Because higher wages are less likely to induce people who are structurally or physically unable to Participate on the labour force. On the other hand people already on the labour force are more likely to Respond to higher wages by accepting jobs.”

The above statement is an answer to which question?

- A. Why is the AJ curve more elastic than the LF curve**
- B. Why is the LF curve not totally vertical
- C. Why is the AJ curve not completely vertical
- D. Why is it difficult to completely remove the horizontal distance between the AJ and LF Curves

118. Which of the following would constitute sound government policy if you subscribed to the Monetarist view on unemployment?

- A. Increase aggregate demand through monetary or fiscal policy
- B. Reduce the obstacles to downward wage rigidity (like unions, unemployment benefits, Minimum wage legislations etc.)
- C. Reduce the marginal income tax rate (to increase the incentive to work)**

D. All of the the above

119. The persistence of a phenomenon, such as unemployment, even when its causes have been Removed is called

- A. The paradox of thrift.
- B. Hysteresis.**
- C. Structural unemployment.
- D. Ceteris paribus.

120. Cyclical unemployment is the

- A. Portion of unemployment that is due to changes in the structure of the economy that result in a Significant loss of jobs in certain industries.
- B. Unemployment that results when people become discouraged about their chances of finding a job so They stop looking for work.
- C. portion of unemployment that is due to seasonal factors.
- D. unemployment that occurs during recessions and depressions.**

121. The natural rate of unemployment is generally thought of as the

- A. ratio of the frictional unemployment rate to the cyclical unemployment rate.
- B. sum of frictional unemployment and cyclical unemployment.
- C. sum of frictional unemployment and structural unemployment.**
- D. sum of structural unemployment and cyclical unemployment.

122. One of the tenets of the Classical view of the labor market is that the wage adjustments that are necessary to clear the labor market occur

- A. slowly.
- B. instantly.
- C. very infrequently.
- D. very quickly.**

123. According to Keynesian economists, those who are not working

- A. have given up looking for a job, but would accept a job at the current wage if one were offered to them.
- B. are too productive to be hired at the current wage.
- C. have chosen not to work at the market wage.
- D. are unable to find a job at the current wage rate.**

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Whatsapp Channel link

<https://whatsapp.com/channel/0029VajbFwiGOj9IkVXYo02w>

1st Community link

<https://chat.whatsapp.com/JSL7hq2zPw33ZtkMK2yctx>

2nd Community link

<https://chat.whatsapp.com/IWSnZH3hjWp2KzPxiJDeuL>
